

Australian Business Conditions and Confidence, August

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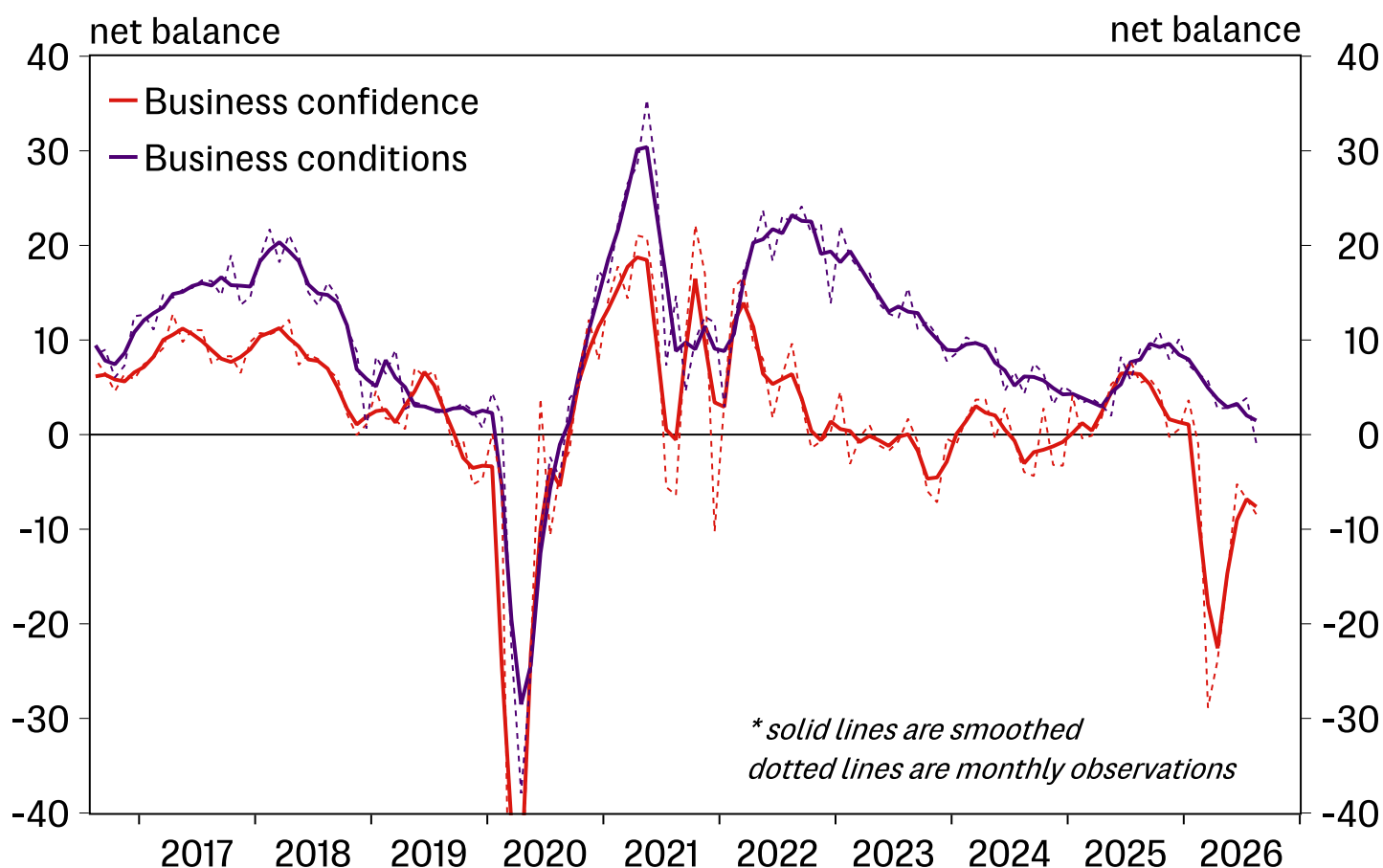
A deterioration in profitability and trading conditions sees business conditions fall to their weakest level since the pandemic, while confidence continues to slide. Conditions –5pts to –1 / Confidence –2pts to –8.



The August NAB Business Survey was in the field from 24 to 31 August, capturing businesses' reaction to ongoing global uncertainty, elevated fuel prices and, at least in part, the upside surprise in July's inflation figures. The headline business conditions index fell into negative territory for the first time in six years, declining 5pts to -1 and marking the weakest result since the height of the COVID-19 pandemic in 2020. Conditions were relatively stable but sluggish over recent months; today's result, however, has pulled the index 7pts below its long-run average, highlighting the risk of further slowing in growth near-term as businesses grapple with higher interest rates and uncertainty stemming from the Middle East conflict.

Across the major sub-components, profitability was the primary driver of the deterioration in conditions. The sub-index fell 10pts to -9 , its lowest level since the pandemic and the sharpest decline since January 2022. At 14pts below its long-run average, the result suggests a growing share of firms are reporting margin squeeze, likely reflecting the combined impact of elevated costs and higher interest rates. Trading conditions also weakened materially, falling 5pts to 3 after holding at 8 over the previous four months. The sub-index now sits 9pts below its long-run average and, like profitability, is at its weakest level since the pandemic. The result points to a softening in demand conditions despite the resilience evident in [July's household spending indicator](#). Employment was broadly unchanged at 3 on a rounded basis, though eased 1pt in unrounded terms.

Business conditions and confidence



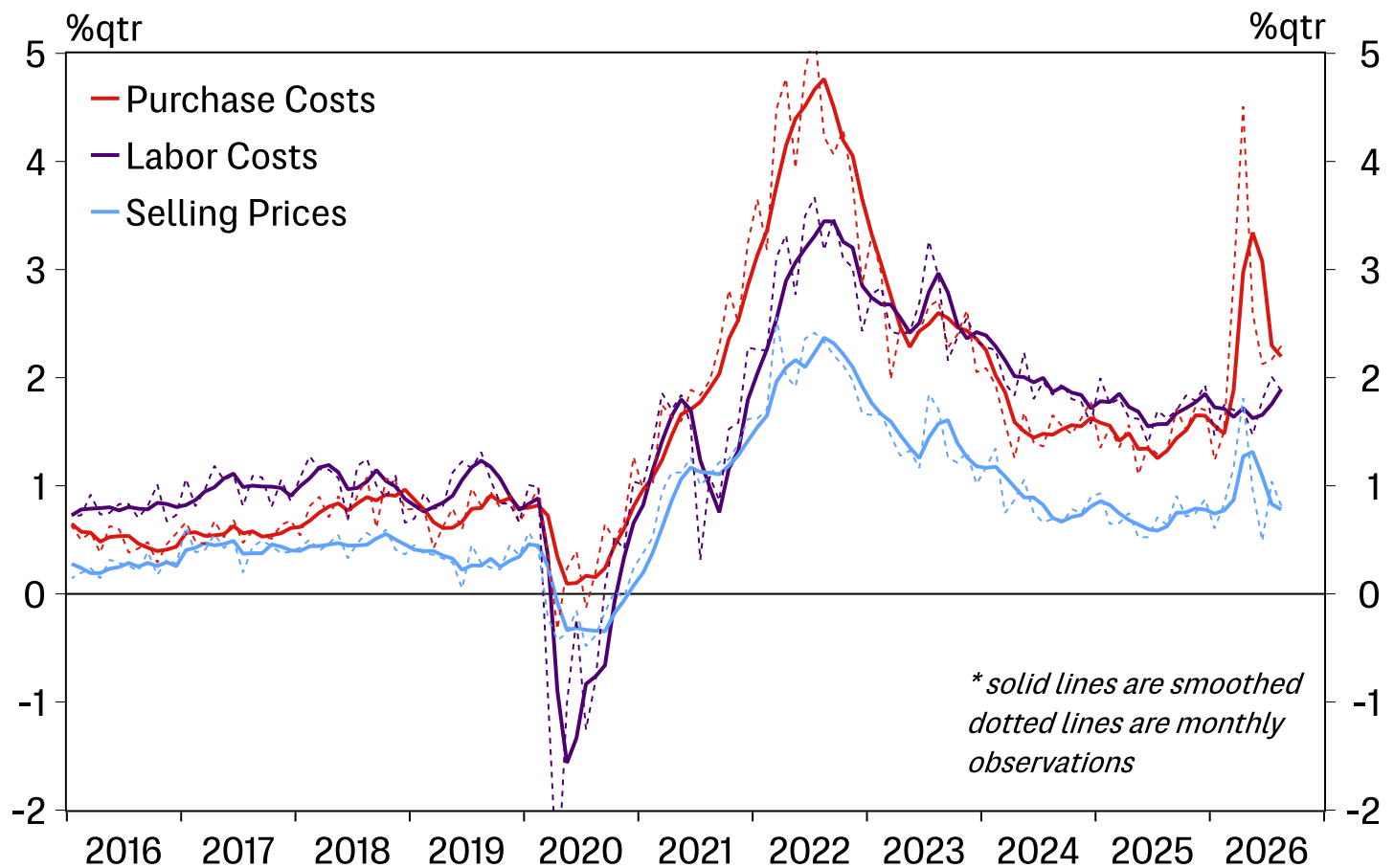
Source: NAB, Macrobond, Westpac Economics



Business confidence declined for a second consecutive month, falling 2pts to -8 and extending the reversal of the recovery that emerged from the conflict lows in March and April. While confidence remains well above the lows recorded earlier in the year, the August reading remains deeply pessimistic, sitting 13pts below its long-run average. The deterioration coincides with lingering uncertainty and persistent cost pressures, with the national average retail petrol price once again lifting above $\$2/L$ in August following the roll-off of the fuel excise discount. The upside surprise in July's inflation figures, which prompted markets to increase expectations of further RBA tightening, also likely weighed on confidence.

Cost growth softened a touch in August. Final product prices declined 0.2ppt to 0.8%qtr, though the measure remains 0.2ppt above its long-run average. Given the sharp decline in profitability and continued strength in purchase cost growth, it would not be surprising to see firms seek to rebuild margins through stronger final product price growth in coming months. Labour cost growth also eased slightly, down 0.1ppt to 1.9%qtr, though this remains 0.6ppt above its long-run average. Purchase cost growth, by contrast, rose 0.1ppt to 2.3%qtr and remains elevated at 1.1ppt above its long-run average.

NAB Survey: Costs and Prices



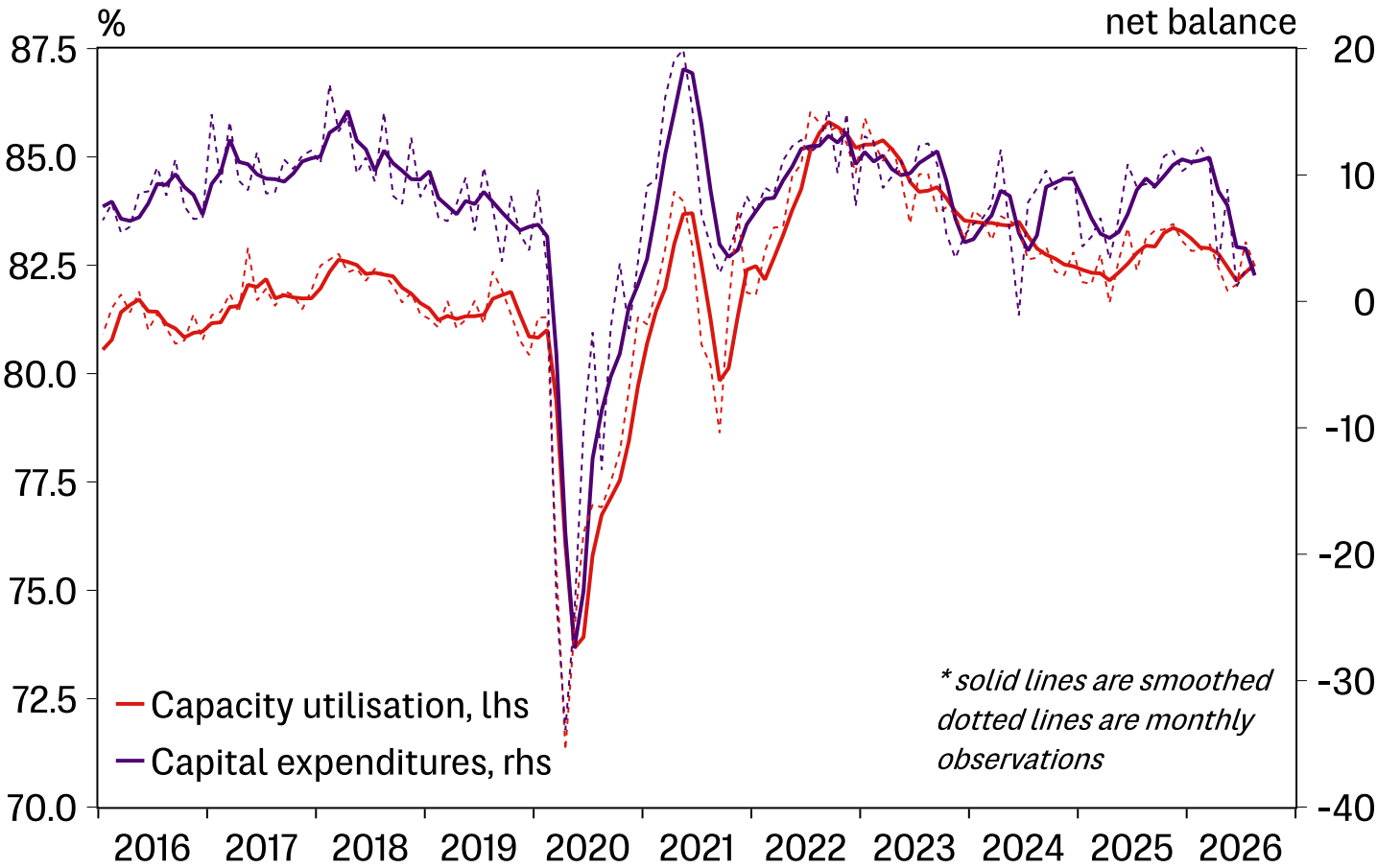
Source: NAB, ABS, Macrobond, Westpac Economics



Capacity utilisation retraced around half of July's gain, declining 0.6ppt to 82.5%. While still 1.1ppt above its long-run average and continuing to trend higher on a three-month average basis, utilisation remains below levels observed earlier in the year. Capital expenditure was broadly unchanged in unrounded terms at 2. Nevertheless, with the sub-index sitting 4pts below its long-run average and

continuing to trend lower on a three-month average basis, the result suggests that weakness in business investment observed in the recent weeks National Accounts may be extending into the September quarter.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics 

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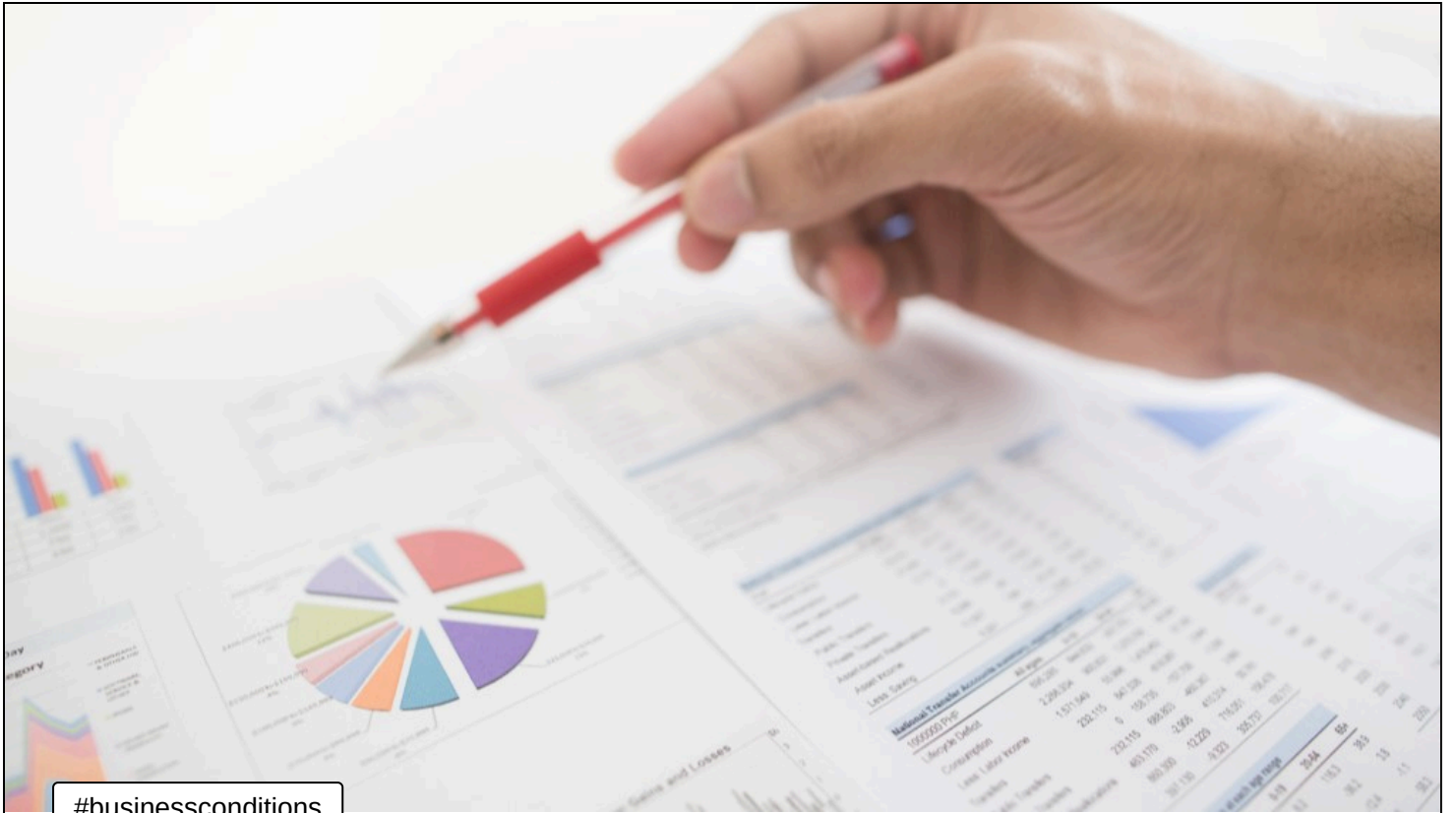


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